

Future Drought Fund Investment Strategy

On 22 January 2025, we released the Future Drought Fund Investment Strategy. The Strategy is our roadmap for building drought resilient farms, landscapes and communities. It shows how we will achieve the FDF objectives. It also tells stakeholders when they can engage with drought resilience programs and activities.

The Strategy supports the [Drought Resilience Funding Plan](#). The Funding Plan came into effect on 9 February 2024 and outlines the rules within which the Fund must operate.

The Funding Plan and Investment Strategy were informed by stakeholder feedback, the independent FDF Consultative Committee, and recent [Productivity Commission Inquiry Report](#).

Programs

We're focused on creating effective programs so that farmers and communities have the best tools and information to make smart decisions about drought for their businesses and regions.

The Australian Government is committing \$519.1 million from the FDF over the next 8 years:

Partnering for Local Solutions

- \$28 million over 2 years from 2024-25 to continue on ground activity through the current Drought Resilience Adoption and Innovation Hubs, while a [review is undertaken](#). Hubs currently deliver activities designed with regional stakeholders to address the challenges of drought and climate variability in their local area. \$104 million over 6 years will be available from 2026-27, contingent on the outcomes of the review
- \$36 million over 4 years from 2024-25 for the [FDF Communities program](#) to support social resilience to drought and other climate impacts by supporting and developing leaders, networks and organisations in agriculture-dependent communities.
- \$67 million over 4 years from 2025-26 for the next phase of the [Regional Drought Resilience Planning program](#), delivered in partnership with states and territories. Implementation funding will be provided for eligible activities in approved regional drought resilience plans, regions will be supported to govern and improve their plans and agricultural regions which don't have plans in place will have an opportunity to develop one.
- \$15 million over 4 years from 2024-25 to establish a \$12 million pilot program to facilitate place-based, First Nations-led activities, and \$3 million dedicated funding to support activities that seek to improve participation of First Nations peoples in FDF drought and climate resilience activities. Additional departmental funding will establish a First Nations Advisory Group to advise on issues relating to drought and climate resilience.

Building Knowledge, Skills and Capability

- \$83.2 million over 5 years from 2024-25 to deliver the next phase of the [Farm Business Resilience program](#), in partnership with states and territories, to build the skills and capabilities of farmers to manage all kinds of risks, including drought and other climate risks. The program will include and integrate the \$3.2 million Drought Resilience Scholarships.
- \$17.2 million over 4 years from 2024-25 to continue and improve the [Climate Services for Agriculture Program](#) and its 'My Climate View' online platform.
- \$37 million over 3 years from 2025-26 for the new Scaling Success program to scale up projects previously funded by the FDF with proven drought or climate resilience outcomes.

Innovating for Transformation

- \$60.3 million over 6 years from 2024-25 for two rounds of the [Long-Term Trials program](#) with expanded eligibility to test and generate evidence of prospective drought and climate resilience farming practices.
- \$40 million over 6 years from 2024-25 for the [Resilient Landscapes program](#) to support projects to demonstrate how practices to manage natural resources contribute to building drought and climate resilience at scale, targeting opportunities for long-term transformational change.
- \$20 million over 3 years from 2025-26 for the Innovation Challenges Pilot to call for innovative solutions to address complex and multi-dimensional challenges, defined by industry experts, which are imposed by drought and climate impacts on a region, industry or sector.

Measuring Progress and Knowledge Sharing

- \$11.4 million over 4 years from 2024-25 to support [monitoring, evaluation and learning](#) (MEL) to measure outcomes and [share knowledge](#) generated by FDF programs about how to address drought and climate risks.

A further \$42.2 million over 4 years is committed from departmental funding to ensure the effective management of the FDF.

Stay in touch

Subscribe to learn more about the [upcoming new phase of FDF investment](#) stay up-to-date on FDF developments and grant opportunities.

Source: <https://www.agriculture.gov.au/agriculture-land/farm-food-drought/drought/future-drought-fund/next-phase>